non-shareable special additional excise duties and road and infrastructure cess on petrol and diesel from time to time, in the most accentuated manner after 6 May 2020. The government imposed an additional levy of a whopping Rs 13 per litre on diesel and Rs 10 per litre on petrol, which raised the incidence of excise duties on diesel to Rs 31.8 per litre and Rs 32.9 per litre on petrol (these duties were Rs 3.56 per litre on diesel and Rs 9.48 per litre on petrol in 2014, when the NDA government had taken over). With such a large imposition of non-shareable special additional excise duties and road and infrastructure cess on diesel and petrol, the shareable basic excise duty was only Rs 2.98 per litre on petrol and Rs 4.83 on diesel. The rest was all non-shareable components.

The consequence of this policy choice by the Government of India has been amply reflected in the gross collection of excise revenues and the share of the states therein. The revised estimates of excise duties for financial year 2020–21 are Rs 3,61,000 lakh crore. The estimated share of states in the excise duties revenues for 2020–21 are only Rs 19,578 crore. All the states get only 5.4 per cent of the share of all the excise duties and cesses collected by the Central government as against the Finance Commission-recommended share of 41 per cent.

The process of diluting the ‘divisible pool’ continued in Budget 2021–22 as well. A new cess—agriculture infrastructure and development cess—has been levied by bringing a necessary law through the Finance Act 2021. Customs duties have also been made more non-shareable by converting existing basic customs duties into agriculture infrastructure and development cess on several items.

For financial year 2021–22, estimated excise duties revenues are Rs 3,35,000 crore whereas the states’ estimated share is Rs 19,475 crore, which is only 5.81 per cent. The states have effectively been deprived of their share in union excise duties. For customs, the net tax receipts for RE20–21 are Rs 1,12, 000 crore, whereas the share of states estimated for the year is